EXECUTIVE MEMO

TO: Alpha Manufacturing Group, Executive Team
FROM: Rabbi Perez Kwakoa Asiedu, Digital Transformation Project Manager
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SUBJECT: ERP Transformation Strategy

Executive Summary

Alpha Manufacturing Group (AMG) runs on a fragmented, 20-year-old ERP spanning Finance, Manufacturing/MRP, and Procurement, used by roughly 80 employees daily. Engineering data (BOM and ECN records) lives on a separate database, connected only by a nightly sync that has been flagged as fragile. This means BOM and ECN data regularly fall out of alignment, causing manufacturing delays and inaccurate order costing. There is also a heavy reliance on Excel spreadsheets which means that company data is at a high risk of loss because of data being manually inputted by workers all the time. This risk can be in the form of incorrect values being inputted or values not making it to the spreadsheet at all.
The CRM, Customer Relationship Management, that is responsible for sales and customer data is modern (cloud based) but not integrated to the ERP so there is probably little to no communication between the systems. It seems both systems run independently of each other. The same goes for the HRIS/Payroll (Human Resource) which is also siloed; running separately from the ERP.
These weaknesses carry a measurable cost: approximately 80% of custom orders experienced margin erosion last year, unreliable labor tracking and the absence of a trustworthy contribution margin view.
The Board has approved a program to replace the legacy ERP with a modern cloud ERP, rationalize the application landscape, and restore margin transparency, targeting go-live in 12 months. This memo sets out our recommended phasing strategy, scope decisions, and data/reporting continuity plan to meet that mandate while protecting day-to-day operations.

Key Objectives

The cloud ERP should be able to achieve the following at the end of the phasing;

1. Reduce the 80% margin erosion rate by restoring BOM accuracy and reliable order costing.
2. Establish reliable labor tracking and a trustworthy, comprehensive contribution margin view.
3. Eliminate BOM/ECN sync failures which are the root cause of current manufacturing delays.
4. Rationalize the application landscape and strengthen data governance across Finance, Manufacturing, Procurement, CRM, and HRIS.
5. Deliver the new ERP within 12 months without disrupting day-to-day operations.

Phasing Approach

Alpha Manufacturing Group's ERP replacement should follow a function-first phasing. The transformation will happen over several phases with each phase dealing with a specific function in a chronological order. This process will however not occur simultaneously over all 5 locations. It will target one location first and then implemented across the other locations over time.

Phase One - Manufacturing/MRP + Finance: The first phase should rebuild the manufacturing/ MRP alongside minimum viable finance layers. One major business impact from the application landscape was in operations where there was a delay in manufacturing as a result of BOM sync failures. This sync failure occurs because the BOM and ECN run on different databases and so when there is an engineering change, it would only reflect after the nightly sync which has even been flagged as fragile meaning there are instances where there is a break in syncing and data ends up not being reflected on the ERP. This issue can be directly linked to the high margin erosion reported because it affects how customer bills are calculated. Failed syncing equals incorrect billing of materials and incorrect fee charge to customers. However, only fixing manufacturing puts us in a position where we cannot record financial records. So, certain minimum finance layers that will be viable for custom orders will have to be added to this phase. Recommended layers are the chart of accounts, general ledger, and cost accounting/job costing. Without a place to log accurate costs per order, fixing Manufacturing alone would not resolve margin visibility hence the need for the stated finance layer.

Phase Two - Procurement: With accurate BOM and cost data now flowing reliably, sourcing quantities and timing for custom orders can be planned against trustworthy data rather than fragmented spreadsheets.

Phase Three - Budgeting/Reporting/BI Layer: These layers were deliberately added later. Even though they are needed, the system can still work without them. We have to ensure that the foundations are solid and the significant loopholes are patched up first and that is why Manufacturing/ MRP + viable segments of Finance, and Procurement were fixed first. This decision was also made in accordance with the board's mandate of improving margin transparency. Considering the fact that AMG has already been burned with unreliable numbers caused by BOM sync failures and Excel over-dependence for manual data input, shipping a budgeting/reporting dashboard which does not have the complete data that executives need to make decisions will not solve the failure of the initial ERP. A later accurate view of operations is much better compared to an earlier view which is shaky and unreliable.

Phase Four - Account Payable /Account Receivable layer and Financial Close/Consolidation: These financial layers will be deferred and done later in the transformation phase. They are transactional, heavy-workflow processes needed across the multi-entity structure. They can be built out once the cost/reporting foundation is proven. These layers will continue running on the legacy ERP for the time being and then put on the cloud later.

Location Sequencing:
The roll-out will be done sequentially. It will be implemented in one location first and then eventually done across all five locations. The first location will be the lowest-risk site. Starting with a low-risk site will help us prove the feasibility of the new system. It will make it easy to detect flaws before they escalate to destroying important data and ruining operations. Once the system performs as expected, it will be deployed to other locations. If not, deployment will be halted and issues fixed immediately.

Top Risks

Risk	Mitigation
BOM/data migration integrity: Carrying forward incorrect or incomplete BOM/ECN data will undermine the entire Manufacturing/MRP phase even before it starts	BOM data from the legacy ERP system will be thoroughly analyzed and cleaned. So only clean data is sent to the new system.
Parallel-run complexity during transition (legacy + new system running side by side): This includes paying for/maintaining both systems. There is also the risk of the data in the two systems drifting apart.	Set a strict deadline for how long the two systems will be running in parallel so it doesn't end up being permanent. There should also be regular check-ins on both systems to ensure they are up-to-date.
Scope creep from customization	Approving customization requests based on a real, justified business reason and not because users want the new system to behave like the old system.
User adoption of the new system	Structured training to get users adapted to the new system.
Multi-entity / site complexity across 5 locations	Pilot at the lowest-risk site first to validate the multi-entity data model before scaling to remaining locations.

Scope Control

A Change Control Board will be set up to govern customization on the new system. Any change request will be carefully scrutinized to make sure that only requested changes that show real positive business impact will be included in the scope.

Day-1 Must-Haves

Chart of Accounts, General Ledger, BOM/ECN accuracy (Manufacturing/MRP), and Procurement sourcing. BOM/ECN accuracy is non-negotiable: without it, manufacturing would not reliably know what to build, in what quantity, or at what cost repeating the past year's margin erosion. The Chart of Accounts/General Ledger foundation must exist alongside it so Manufacturing has an accurate place to post costs.

Deliberately deferred: full AP automation, CRM integration, HRIS/Payroll integration, and BI/reporting dashboards. CRM and HRIS/Payroll can be deferred safely because both already operate independently of the ERP. Deferring integration introduces no immediate operational risk. BI/reporting is deferred until underlying cost and BOM data is proven stable, so the Executive Team is not presented with an unreliable dashboard.

Migration Exclusions

Migration follows an open or closed principle: active, open items (current orders, active accounts, in-progress jobs, current inventory) migrate live; closed/completed items (finished orders, closed financial periods, old receipts) are excluded from migration but not discarded. The legacy ERP remains available in read-only archive mode. AMG keeps the old system running in the background but locked so no new data can be entered or changed. People can still log in and look up old records (search, view, print a report), but nobody can create new transactions, edit anything, or process new orders in it. Existing BOM data is cleansed and validated before migration, so historical sync errors are not carried into the new system.

Customization Discipline

AMG treats custom development as an exception requiring justification. The test applied to every request: would AMG's engineer-to-order model genuinely fail to function without this customization, or is this simply how the legacy system happened to do it? Genuinely unique per-order BOM configurations warrant customization; recreating legacy report layouts or manual approval workarounds does not. The Change Control Board applies this test before any request enters scope.

Historical Data Migration

Historical data migration follows the same open-versus-closed principle described above: closed records remain accessible via the legacy system's read-only archive rather than being migrated, minimizing migration risk and cost while preserving full audit and compliance access.

Reporting During Transition

AMG will maintain a temporary reporting bridge that will pull data from the both ERP systems so the exectives always have something reliable to look at. A simple excel sheet will be used during this transition period for reporting which will be manually maintained by a worker. Leadership therefore has uninterrupted access to historical data and KPIs. The permanent BI/reporting layer (Phase Three) replaces this bridge once underlying data is proven stable.

Month-End Close Continuity

AMG will run at least one full parallel close cycle before any go-live milestone affecting financial data closing the books simultaneously in the legacy and new systems and reconciling results before the new system is trusted as the system of record. This validates the new Chart of Accounts, GL, and cost accounting foundation, and continues for as long as legacy Finance processes run in parallel for non-migrated functions.

Recommendation

We recommend the Executive Team approve this phased approach, enabling the program to proceed toward the 12-month go-live target while protecting day-to-day operations and restoring the margin transparency the Board has requested.